Consumer Rewards & Loyalty

Loyalty Tiering Upgrade 2.0

Central Data Science

V1.3

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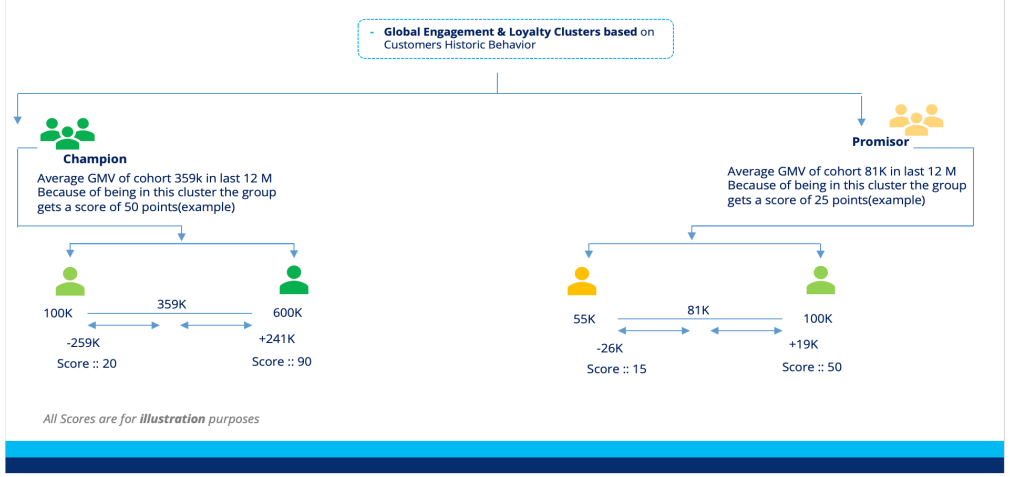
Ensemble of Global Engagement Cluster, Affluence, Churn & CLTV

Highly evolved version 2.0 with more customer level performance considered

Inter and Intra Cluster/cohort behavior deviations considered



- **Global Engagement & Loyalty Clusters** based on Customers Historic Spends Behavior **(Loyalty Tiers)**
- UPI P2P weightage will account for 55% contribution to this Engagement score

- **Churn Probability** of Customer in next 6M
- . Score has least weight as we plan to **Use it as an Overlay to define strategy.**

Loyalty Tier 2.0 = $fn($ **Customer Engagement** | **Customer Lifetime Value** | **Churn Probability** | **Affluence Score** $)$

- 20% *Paytm First Black*
- 19% *Paytm First Gold*
- 61% *Paytm First Blue + Classic*

- **Expected Revenue from a Customer** in next 12M
- UPI P2P revenue will contribute to 12% of the Customer Value

- **Affluence Persona Score is** computed using Income Estimation and affluent categories qualitative overlay
- **UPI P2P transactions were benchmarked** on a customer level and was one of **the top category in terms of weightage**

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Clear rank ordering exists on all main customer metrics

Black Tier has highest affluence, historic GMV, futuristic CLTV and High Retention

	Paytm First Black		Paytm First Gold		Paytm First Blue + Classic
# Customers	26Mn		25Mn		78Mn
% Customers	20%		19%		61%
Spends w/o UPI (L12M) - *M*	₹137k	27.5x	₹23k	4.6x	₹5k
Spends with UPI (L12M) - *M*	₹283k	15.7x	₹67k	3.7x	₹18k
Txn w/o UPI (L12M) - *F*	173	13.3x	31	2.4x	13
Txn with UPI (L12M) - *F*	242	10.5x	48	2.1x	23
Activity w/o UPI (L3M) - *R*	97%	2.3x	81%	1.9x	41%
Activity with UPI (L3M) - *R*	98%	2.1x	82%	1.8x	46%
CLTV – Next 12M	₹1,656	48.7x	₹208	6.1x	₹34
Affluence (*Top 3 Bands*)	98%	2.4x	75%	1.6x	45%

**Blue + Classic – Enter into the program if they are sponsored by categories or join Paytm First to participate in the Loyalty program*

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Top categories identification & presence based on propensity models

Black Tier customers showcase significantly high propensities for most categories

Categories	Paytm First Black		Paytm First Gold		Paytm First Blue + Classic
Rent	41%	15.6x	6%	3.1x	3%
Movie	35%	9.3x	9%	3.6x	4%
Flights	38%	12.9x	9%	4.5x	3%
PL	63%	2.4x	38%	1.7x	26%
PP	52%	4.5x	24%	2.3x	11%
CC	88%	2.9x	47%	1.8x	30%
Electricity	71%	10.3x	35%	8.2x	7%
Referral	52%	6.9x	20%	4.2x	7%
Mobile prepaid	46%	4.3x	22%	2.9x	11%
Add Money to Wallet	53%	19x	18%	12.5x	3%
Train	35%	9.5x	10%	4x	4%
Bus	36%	10.7x	9%	4.1x	3%
Deals	16%	11.3x	7%	5.6x	1%
DTH	68%	7.1x	29%	4.6x	10%
Broad Band & Land Line	79%	18.5x	35%	14.5x	4%
Cylinder	74%	11x	32%	7.7x	7%

*Considered top three deciles for each category Propensity score

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User Segments rank order - active UPI base

RFM attributes

Cluster	User Base	% L3M Active R	Avg. Annual Transactions F	Avg Annual Spends (Rs) M	Avg. Annual Transactions -UPI P2P	Avg Annual Spends (Rs) - UPI P2P
Champion	13.5 M (10%)	100%	338	3,59,759	109	2,03,879
Loyalist	8.8 M (7%)	95%	95	2,23,869	46	1,32,253
Promisor	16.2 M (13%)	92%	63	80,916	32	64,885
Attention-Seeker	25.5 M (19%)	97%	50	54,222	27	48,011
Potentialist	15.3 M (12%)	99%	11	23,012	8	24,214
Napster	25.6 M (20%)	12%	9	12,146	10	19,718
Hibernator	23.9 M (19%)	8%	5	8,085	6	12,515

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Customer Value Calculation

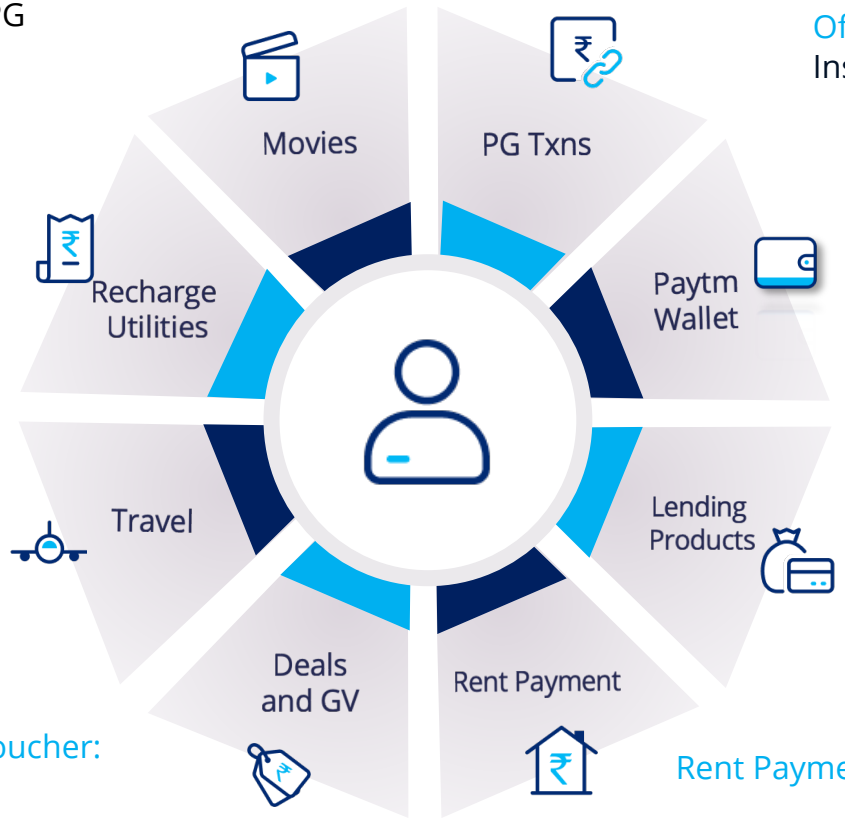
Customer Value (CV) = fn **(Category Margins | Lending | Payment Margins)**

Movies: Convenience Fee & PG charges

Offline, Online & UPI: Payment Instrument based margins

Recharge Utilities: Service based convenience fees which is derived as the difference between base price and selling price

Wallet: Payment Instrument based margins for both inward and outwards payments



Flight: Convenience fee
Train: Service fee & PG charges
Bus: Fee based on operator

Paytm CC: Credit Card fee and spend based margins
Personal Loan: Processing fee and interest components
Postpaid: Convenience fee and late fee

Deals and Gift Voucher: Commission

Rent Payment: Convenience fees

** *Additional **Hotel/ Events/ Insurance** are also considered;*
** ***Fastag Acquisition** is part of PPBL, Paytm **Money** and **Ads** are **not** part of value*

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CLTV + Churn Probability ~ *Model Design + Outputs*

190+ Attributes covering multiple dimensions of customer's **Profile/ Preferences**

#towards@360°

Frequency
How often a customer makes a transactions

Recency
How recently a customer has made a transactions

Monetary
How much money a customer spends on transactions

Customer Demography
Standard profiles of customers; Age, Vintage etc.

Customer Behavior in Last 12M

	Customer Value Band (~ ₹390)	Retention Rate* Band (~ 62%)
1	0 to ₹5 (23%)	<=15% (12%)
2	₹6 to ₹25 (27%)	<= 30% (14%)
3	₹26 to ₹50 (12%)	<= 50% (14%)
4	₹51 to ₹100 (10%)	<= 75% (13%)
5	₹101 to ₹200 (8%)	<= 90% (12%)
6	₹201 to ₹500 (8%)	<= 99% (22%)
7	₹500+ (13%)	> 99% (14%)

**Retention Rate = 1 - Churn*

***12.9 Cr Customers**

Value in Next 12M

$$\textbf{Customer Value Next 12M} = \hat{\alpha} + \hat{\beta} * \textbf{Rec.}\, Last\ 12M + \hat{\gamma} * \textbf{Freq.}\, Last\ 12M + \hat{\delta} * \textbf{Mon.}\, Last\ 12M + \hat{\rho} * \textbf{Cust Demog}$$

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Affluence Score: *how deep* are our *customers' pockets* ?

affluence [*noun*] the state of having a lot of money and a good standard of living

1 *Income* Prediction

Credit Bureau Info Available
(1.3 Crore)

Credit Bureau Info Not Available
(11.5 Crore)

Paytm features

Fixed Obligation to Income Ratio (FOIR) Rules

FOIR estimated Income

Paytm Based Income Prediction ML Model

Predicted Income

2 *Affluence Heuristics* based on Paytm Behavior

2.1 ***Category Affluence Index*** for each category a customer transacts

2.2 ***Composite Transaction Metric*** to capture Affluent traits

$$= \alpha * \textit{max trxn amount} + \beta * \textit{ticket size} + \gamma * \textit{monthly spend} + \delta * \textit{total trxn amount}$$

2.3 *Affluence Heuristic* = $\sum_{\text{All categories user transacted in last 12m}} \textit{category_rating} * \textit{composite_metric}_{\text{category}}$

Affluence Score
Score ranging from 1 to 7

	# Last 12M active customers	Avg Ticket Size	Avg Monthly Salary Source: SMS data	% with >50K monthly salary; Source: SMS data	% of Advanced investors (>50K per week investing) Source: SMS data	% of Premium-variant cards approved out of all approved Cards (HDFC)
High Affluence 7	10 L	12,257	1.1 L	66%	10.6%	19.9%
6	41 L	5,213	1.06 L	65%	9.0%	13.7%
5	60 L	4,053	80K	55%	6.1%	9.9%
4	2.3 Cr	2,807	56K	38%	5.1%	6.2%
3	3.2 Cr	1,118	36K	18%	2.9%	1.45%
2	3.4 Cr	340	35K	20%	2.8%	0.3%
1 ***Low Affluence***	2.1 Cr	134	25K	9%	1.7%	0.2%
	12.2 Cr					

Affluence Score aligns well with Salary info from SMS data and shows strong +ve correlation

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